FAB v2 base test — per-task report

Agent answers + per-criterion grading. Single grading pass shown; see RESULTS for k-median aggregates.

fab_00 — General Qualitative Analysis

Question: For NASDAQ:CRWD, in what ways does management believe Artificial Intelligence (AI) will serve as a tailwind to its current business, and what risks does management associate with AI? Base your answer on disclosures across the fiscal year ended January 31, 2025, and the period ended October 31, 2025.

Score (generous): 0.667 | strict: fail

Per-criterion (✓/·): - ✓ The Falcon platform is described as an AI-native architecture that serves as a structural competitive advantage - ✓ Charlotte AI is identified as a generative AI security analyst that automates threat triage and investigation - · Falcon AIDR (AI Detection and Response) is identified as a product that secures customers' own AI usage, representing a net-new mo - ✓ AI adoption by enterprise customers is identified as a direct demand driver for the Falcon platform - · Adversarial AI is identified as a risk factor, where threat actors use AI to launch faster and more sophisticated attacks - ✓ Regulatory and compliance developments related to AI are identified as a risk that could impose additional requirements on CrowdSt - ✓ CrowdStrike's ability to keep pace with rapidly evolving AI capabilities is identified as an execution risk - ✓ Concludes that management frames AI as tailwind driving platform demand - · Concludes that management refers to AI as a new product category

Agent answer:

CrowdStrike (NASDAQ: CRWD): How Management Views AI as a Tailwind and the Associated AI Risks

Based on the FY2025 10-K (filed March 10, 2025, for the period ended January 31, 2025) and the 10-Q for the period ended October 31, 2025 (filed December 3, 2025).

PART I — HOW MANAGEMENT BELIEVES AI WILL SERVE AS A TAILWIND

1. AI-Native Architecture as the Foundational Differentiator

CrowdStrike positions its entire Falcon platform as fundamentally AI-native. In its own words: "We took a fundamentally different approach to solve this problem with the **AI-native CrowdStrike Falcon cybersecurity platform – the first, true, cloud-native platform built with AI at the core**, capable of harnessing vast amounts of security and enterprise data to deliver highly modular solutions through a single lightweight agent." (FY2025 10-K, Business Overview; reiterated in the Q3 FY2026 10-Q Overview.)

The company explicitly states it "reinvented cybersecurity for the cloud and artificial intelligence ('AI') era" and uses AI to "detect and prevent threats and drive workflow automation to give security teams machine speed advantage to stop adversaries." AI is not a bolt-on feature but the core architectural philosophy.

2. The Security Cloud and Cloud-Scale AI — A Network-Effect Moat

The Falcon platform's data advantage is central to management's AI thesis: "Using cloud-scale AI, our Security Cloud enriches and correlates **trillions of cybersecurity events per week** with indicators of attack, threat intelligence, and enterprise data... to create actionable data, identify shifts in adversary tactics, and automatically prevent threats in real-time across our customer base."

The critical tailwind is the self-reinforcing data flywheel: "The more data that is fed into our Falcon platform, **the more intelligent our Security Cloud becomes**, and the more our customers benefit, creating a powerful network effect that increases the overall value we provide." This is described as "cloud-scale AI."

The 10-K elaborates: "The expansive amount of high fidelity data crowdsourced and captured in our Security Cloud enables the continuous training of our algorithms... This is why we believe our Security Cloud and our cloud-native architecture creates a **fundamental differentiator from our competitors**." Management believes its proprietary dataset — enriched by every customer — gives it an advantage in training AI that competitors cannot replicate.

3. Threat Grap…

fab_01 — General Qualitative Analysis

Question: For NASDAQ: MAR and NYSE: WH, using FY2025 data, identify the percentage of U.S. and global room nights or check-ins attributable to loyalty, and the funding mechanisms for each program. Based on these disclosures, which company appears better positioned to translate loyalty strength into durable economic advantage?

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ MAR loyalty members account for approximately 75% of U.S. and Canada hotel room nights. - ✓ MAR loyalty members account for approximately 68% of global hotel room nights. - ✓ WH loyalty members account for over 53% of U.S. check-ins. - ✓ WH loyalty members account for over 37% of global check-ins. - ✓ Response states MAR co-branded credit card agreements are a significant funding source for the Marriott Bonvoy loyalty program. - ✓ Response states WH Wyndham Rewards is funded by contributions from eligible revenues generated by loyalty members and collected fr - ✓ Response concludes that MAR is better positioned to translate loyalty strength into durable economic advantage.

Agent answer:

Loyalty Program Comparison: Marriott International (MAR) vs. Wyndham Hotels & Resorts (WH) — FY2025

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1. Loyalty Penetration Metrics

Metric	Marriott (Marriott Bonvoy)	Wyndham (Wyndham Rewards)
U.S. Room Nights / Check-Ins	~75% of U.S. room nights booked by loyalty members	Over 53% of U.S. check-ins from loyalty members
Global Room Nights / Check-Ins	~68% of global room nights booked by loyalty members	Over 37% of global check-ins from loyalty members
Enrolled Members	Not explicitly disclosed (historically ~210M+)	122M+ enrolled members; grew 7% in 2025 and 24% since end of 2022
Measurement Basis	Room nights *booked*	*Check-ins* (actual stays)

Key Caveat: The two companies measure slightly different things — Marriott reports "room nights booked" (which captures bookings intent and includes potential cancellations/no-shows) while Wyndham reports "check-ins" (actual completed stays). This makes the figures not perfectly comparable, but the directional signal is unmistakable: Marriott's loyalty penetration is materially deeper in both geographies.

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2. Funding Mechanisms

Marriott Bonvoy — Three-Pillar Funding Architecture

(a) Co-Branded Credit Card Programs (Primary Economic Driver): Marriott operates co-branded credit card relationships in 11 countries, anchored by two major U.S. issuing banks — JPMorgan Chase and American Express. These are described in the 10-K as a "significant funding source." The cards generate fee income tied to cardholder spending (both on-property and everyday spend), and in FY2025, co-branded credit card and brand-related fees contributed **$105 million of the year-over-year franchise fee increase** out of total gross fee revenues of $5,438 million. The multi-bank, multi-country architecture diversifies issuer concentration risk and embeds Marriott in the daily financial lives of its highest-value members.

(b) Hotel Owner Monthly Cash Contributions: Hotel property owners (both franchised and managed) remit monthly cash contributions to Marriott based on qualified spend by loyalty members staying at their properties. This is the mechanism by which the properties pre-fund the points that are earned by guests — the owner pays into the pool when points are issued, and Marriott draws from that pool to reimburse hotels when points are redeemed.

(c) Property Reimbursement of Operating Costs: Properties reimburse Marriott for p…

fab_02 — General Qualitative Analysis

Question: Who do NASDAQ: EA and NASDAQ: TTWO see as competitors in their business? Include any disclosure on direct competitors and non-interactive entertainment competitors. Which business provides more detailed disclosure on their competitive landscape?

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ The response states that EA faces competition from companies that build products on PC, consoles and mobile devices as well as lar - ✓ The response states that EA competes with other providers of entertainment such as movies, TV, social media and music - ✓ The response states TTWO competes with other established and emerging interactive entertainment companies - ✓ The response states TTWO competes with Sony, Microsoft, and Nintendo for the sale of interactive entertainment software - ✓ The response states TTWO competes with other software, hardware, entertainment, and media for limited retail shelf space and promo - ✓ The response states TTWO competes with other forms of entertainment such as motion pictures, television, social networking, online - ✓ Response concludes TTWO provides more detailed disclosure on their competitive landscape

Agent answer:

Competitive Landscape Disclosures: Electronic Arts (EA) vs. Take-Two Interactive (TTWO)

Based on a close review of each company's most recent 10-K filing (EA: filed May 11, 2026 for the fiscal year ended March 31, 2026; TTWO: filed May 22, 2026 for the fiscal year ended March 31, 2026), here is a detailed comparison of how each company discloses its competitive landscape.

Electronic Arts (EA) — FY2026 10-K

Direct Competitors: EA does **not** name any specific competitor companies by name in its Competition section (Item 1, "Business") or in its Risk Factors (Item 1A). Instead, EA relies entirely on broad, generic descriptive categories: - "Companies that focus on developing products and services available on consoles, PCs and/or mobile devices." - "Large, diversified companies that have strengthened their interactive entertainment capabilities" — noted as having "greater financial and other resources" that provide larger budgets to develop and market tools, technologies, products, and services. - Competitors that "range from established interactive entertainment companies to emerging start-ups." - "New entrants" expected to emerge "as advances in technology and artificial intelligence have lowered the barriers to creating new games."

EA does mention specific companies such as Sony, Microsoft, Tencent, Nexon, and Garena — but only as **distribution/platform partners**, not as competitors. EA discloses that direct sales to Sony and Microsoft represented approximately 39% and 16% of total net revenue, respectively, in fiscal year 2026.

Non-Interactive Entertainment Competitors: EA states it competes against providers of **"different sources of entertainment, such as movies, television, social media, online casual entertainment and music that our players could enjoy in their free time."**

Competitive Factors Cited: EA lists: ability to attract creative and technical talent, game quality and ease of use, innovation, compatibility of products with certain consoles and other distribution channels, brand recognition, reputation, reliability, security, creativity, price, marketing, and quality of customer service.

Take-Two Interactive (TTWO) — FY2026 10-K

Direct Competitors — Specifically Named and Categorized: TTWO provides an extensive, specifically named list of competitors, organized into four distinct bullet-point categories in its Competition section (Item 1, "Business"):

**Category 1 — Other Interactive Entertain…

fab_03 — General Quantitative Analysis

Question: For NASDAQ: CRWD and NASDAQ: PANW, which company achieved the higher 2-year revenue CAGR, and by how many basis points from FY 2023 to FY 2025?

Score (generous): 0.500 | strict: fail

Per-criterion (✓/·): - · CRWD 2-year revenue Compound Annual Growth Rate (CAGR) is 32.82%. - ✓ PANW 2-year revenue Compound Annual Growth Rate (CAGR) is 15.67%. - ✓ The response states that CRWD achieved the higher 2-year revenue Compound Annual Growth Rate (CAGR) compared to PANW. - · CRWD 2-year revenue Compound Annual Growth Rate (CAGR) exceeds PANW by 1,715 basis points (bps).

Agent answer:

CrowdStrike (CRWD) achieved the higher 2-year revenue CAGR from FY2023 to FY2025 — approximately 32.83% versus Palo Alto Networks' (PANW) 15.67%. The difference is approximately 1,716 basis points (17.16 percentage points).

Detailed calculation:

CRWD (FY ends Jan 31): - FY2023 Total Revenue: $2,241,236 thousand (per 10-K filed 2023-03-09) - FY2025 Total Revenue: $3,953,624 thousand (per 10-K filed 2025-03-10) - CAGR = (3,953,624 / 2,241,236)^(1/2) – 1 = (1.7642)^(0.5) – 1 = 32.83%

PANW (FY ends Jul 31): - FY2023 Total Revenue: $6,892.7 million (per 10-K filed 2023-09-01) - FY2025 Total Revenue: $9,221.5 million (per 10-K filed 2025-08-29) - CAGR = (9,221.5 / 6,892.7)^(1/2) – 1 = (1.3379)^(0.5) – 1 = 15.67%

Difference: 32.83% – 15.67% = 17.16 percentage points = **1,716 basis points** in favor of CrowdStrike.

fab_04 — General Quantitative Analysis

Question: For NASDAQ:CZR, calculate Adjusted EBITDAR for 2021-2024 by adding Rent Obligations (specifically the GLPI and VICI leases). Then calculate YoY growth rate in EBITDAR as well as the 3-year CAGR from '21A-24A.

Score (generous): 0.125 | strict: fail

Per-criterion (✓/·): - ✓ 2021 Adjusted EBITDAR is $4.06 billion - · 2022 Adjusted EBITDAR is $4.42 billion - · 2023 Adjusted EBITDAR is $5.14 billion - · 2024 Adjusted EBITDAR is $4.96 billion - · YoY Adjusted EBITDAR Growth is (3.47%) in 2024 - · YoY Adjusted EBITDAR Growth is 16.23% in 2023 - · YoY Adjusted EBITDAR Growth is 8.84% in 2022 - · Adjusted EBITDAR '21A-'24A Compound Annual Growth Rate (CAGR) growth is 6.89%

Agent answer:

Caesars Entertainment (NASDAQ: CZR) — Adjusted EBITDAR, 2021–2024

Methodology

Caesars' GLPI and VICI leases are accounted for as **failed sale-leaseback financing obligations** (not operating leases). Consequently, lease payments do not flow through operating expenses; instead they are split into interest expense (the vast majority) and a negligible principal component, with the associated assets and financing obligations recorded on the balance sheet.

Caesars reports **Adjusted EBITDA** (a non-GAAP metric) that already adds back all interest expense (including the interest portion of GLPI/VICI payments). To compute **Adjusted EBITDAR**, I add back the full cash lease payments (interest + principal) to Adjusted EBITDA, representing the total "rent" to GLPI and VICI. This is the standard approach for gaming companies with triple-net master leases.

All figures are from the most recent SEC 10-K filings for each year (2024 10-K for 2022–2024; 2023 10-K for 2021, as the 2024 10-K does not restate 2021).

Source Data

Total Adjusted EBITDA (per MD&A reconciliation):

Year	Total Adjusted EBITDA	Source
2021	$2,967M	2023 10-K (2024 10-K does not restate 2021)
2022	$3,204M	2024 10-K
2023	$3,902M	2024 10-K
2024	$3,723M	2024 10-K

GLPI & VICI Cash Payments (from Note 7 / Note 10 — Financing Obligations):

Year	GLPI Cash Interest	VICI Cash Interest	Principal (both)	Total Cash Rent
2021	$109M	$983M	$1M	**$1,093M**
2022	$110M	$1,095M	$1M	**$1,206M**
2023	$111M	$1,175M	$2M	**$1,288M**
2024	$112M	$1,212M	$1M	**$1,325M**

The VICI leases cover 18 casinos (Regional, Las Vegas, and Joliet leases), with initial annual rent of ~$1.1B subject to CPI-based escalation (2% floor). The GLPI leases cover 6 casinos (Master Lease + Lumière lease) with annual base rent of ~$87M plus escalators.

Adjusted EBITDAR Calculation

Year	Total Adj. EBITDA	+ GLPI/VICI Cash Rent	= Adj. EBITDAR
2021	$2,967M	$1,093M	**$4,060M**
2022	$3,204M	$1,206M	**$4,410M**
2023	$3,902M	$1,288M	**$5,190M**

Year	Total Adj. EBITDA	+ GLPI/VICI Cash Rent	= Adj. EBITDAR
2024	$3,723M	$1,325M	**$5,048M**

YoY Growth Rates

Period	Growth Rate
202…	

fab_05 — General Quantitative Analysis

Question: Compare the inventory efficiency of NYSE: HD and NYSE: LOW for FY 2024. Calculate the actual days in fiscal year, average inventory and days inventory outstanding (based on actual days) for each company. Which company turns its inventory faster and what is the difference in DIO (Days Inventory Outstanding) between the two companies?

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ HD fiscal year 2024 contained 371 actual days - ✓ LOW fiscal year 2024 contained 364 actual days - ✓ HD average merchandise inventories for fiscal year 2024 and fiscal year 2023 is $22,213.50 million - ✓ HD days inventory outstanding is 77.60 days - ✓ LOW average merchandise inventories for fiscal year 2024 and fiscal year 2023 is $17,151.50 million - ✓ LOW days inventory outstanding is 111.89 days - ✓ HD turns its inventory faster by 34.29 days - ✓ Conclude that HD is more efficient on the basis of inventory days outstanding.

Agent answer:

Inventory Efficiency Analysis: Home Depot (HD) vs. Lowe's (LOW) — FY 2024

1. Fiscal Year Details

	Home Depot (HD)	Lowe's (LOW)
10-K Filing	Filed March 21, 2025	Filed March 24, 2025
Fiscal Year Period	Jan 29, 2024 → Feb 2, 2025	Feb 3, 2024 → Jan 31, 2025
Weeks in Fiscal Year	53 weeks	52 weeks
Actual Days	**371 days**	**364 days**

HD's FY2024 had a 53rd week, which the company disclosed added approximately $2.5 billion in incremental net sales and $0.30 to diluted EPS. LOW operated a standard 52-week year (its prior FY2022 was the 53-week year).

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2. Key Financial Data (from Consolidated Financial Statements)

($ in millions)	Home Depot (HD)	Lowe's (LOW)
Net Sales (FY2024)	$159,514	$83,674
Cost of Sales (FY2024)	$106,206	$55,797
Merchandise Inventories (Year-End)	$23,451 (Feb 2, 2025)	$17,409 (Jan 31, 2025)
Merchandise Inventories (Prior Year-End)	$20,976 (Jan 28, 2024)	$16,894 (Feb 2, 2024)

Sources: HD 10-K (Consolidated Balance Sheets, p. 39; Consolidated Statements of Earnings, p. 40). LOW 10-K (Consolidated Balance Sheets, p. 38; Consolidated Statements of Earnings, p. 37).

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3. Average Inventory Calculation

	Home Depot (HD)	Lowe's (LOW)
Average Inventory	($23,451 + $20,976) / 2 = **$22,213.5M**	($17,409 + $16,894) / 2 = **$17,151.5M**

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4. Days Inventory Outstanding (DIO) Calculation

Formula: DIO = (Average Inventory ÷ Cost of Sales) × Actual Days in Fiscal Year

	Home Depot (HD)	Lowe's (LOW)
Inventory Turnover (COGS / Avg Inv)	$106,206 ÷ $22,213.5 = 4.78×	$55,797 ÷ $17,151.5 = 3.25×

	Home Depot (HD)	Lowe's (LOW)
DIO	($22,213.5 ÷ $106,206) × 371 = **77.6 days**	($17,151.5 ÷ $55,797) × 364 = **111.9 days**

5. Results Summary

Metric	Home Depot (HD)	Lowe's (LOW)	Difference
DIO	77.6 days	111.9 days	**34.3 days**
Inventory Turnover	4.78×	3.25×	HD turns inventory 1.53× faster

6. Conclusion

Home Depot turns its inventory significantly faster than Lowe's. HD's DIO of 77.6 days compares favorably to LOW's 111.9 days — a difference of **34.3 days**. This means Home Depot cycles through its entire inventory approximately 4.78 times per year, versus Lowe's 3.25 times. Even accounting for HD's 53-week year (whi…

fab_06 — Market Analysis

Question: NYSE:SUI made an announcement about a CEO transition in July 2025. Use the 8-K from July 2025 to determine who the new CEO will be and when they will start in that position. Calculate the percent change in closing share price for the 1-Calendar day, 14-Calendar Day, and 30-Calendar day period following the announcement of SUI's CEO transition in July 2025. Use the change in share price to gauge market sentiment during each period. If any day falls on non-trading day, use the next day that the market is open.

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ States the new CEO will be Charles D. Young - ✓ States the new CEO will start October 1, 2025 - ✓ 1-Calendar Day change is equal to (2.79%) - ✓ 14-Calendar Day change is equal to 0.80% - ✓ 30-Calendar Day change is equal to 2.20% - ✓ States that there was negative market sentiment based on the 1-Calendar Day return metrics - ✓ States that there was positive market sentiment based on the 14-Calendar Day returns metrics - ✓ States that there was positive market sentiment based on the 30-Calendar Day returns metrics

Agent answer:

CEO Transition Announcement

Sun Communities, Inc. (NYSE: SUI) filed an 8-K on July 23, 2025, announcing the appointment of **Charles D. Young** as the new Chief Executive Officer, effective **October 1, 2025**. Mr. Young will also join the Company's Board of Directors. He succeeds Gary A. Shiffman, who previously announced his planned retirement after 40 years leading Sun. Mr. Shiffman will transition to Non-Executive Chairman of the Board, also effective October 1, 2025.

Charles D. Young is a seasoned senior real estate and investment executive with over 25 years of leadership experience. Since March 2023, he served as President of Invitation Homes Inc., the nation's premier single-family home leasing and management company. He previously served as Chief Operating Officer of Invitation Homes and held senior roles at Starwood Waypoint Homes and Mesa Development. He holds a BA in Economics and an MBA from Stanford University's Graduate School of Business.

Price Changes and Market Sentiment

Using the announcement date (July 23, 2025) closing price of **$124.30** as baseline:

Period	Date	Closing Price	Percent Change
1-Calendar Day	July 24, 2025	$120.83	**–2.79%**
14-Calendar Days	August 6, 2025	$125.30	**+0.80%**
30-Calendar Days	August 22, 2025	$127.04	**+2.20%**

All post-announcement dates fell on regular trading days; no adjustments were necessary.

Market Sentiment Analysis

1-Day (–2.79%): Negative. The immediate market reaction was unfavorable, with shares dropping nearly 2.8% the day after the announcement. This likely reflects investor concern over the departure of a founder-like CEO who led the company for over four decades. The press release was issued after market close on July 23, so the full reaction landed on July 24.

14-Day (+0.80%): Neutral-to-slightly positive. Over two weeks, the stock recovered to post a modest gain. This suggests the market began to digest the succession plan more favorably, particularly given Charles Young's strong credentials (President of Invitation Homes, Stanford MBA, 25+ years in real estate) and the orderly nature of the transition with Shiffman remaining as Non-Executive Chairman. However, the small magnitude indicates lingering uncertainty.

30-Day (+2.20%): Positive. By late August, shares had appreciated 2.20% from the announcement-day close, signaling that market sentiment turned clearly favorabl…

fab_07 — Market Analysis

Question: For NASDAQ: DKNG, NYSE: FLUT, NASDAQ: WYNN, and NYSE: LVS, what are the companies' share price return from 01/02/2025 through 02/27/2026? Use the closing share prices at each date. What about FY2024 to FY2025 revenue growth? How do the rankings compare? Are the rankings the same for both?

Score (generous): 0.545 | strict: fail

Per-criterion (✓/·): - ✓ DKNG total share price return is (34.31%) - ✓ FLUT total share price return is (58.32%) - · WYNN total share price return is 29.11% - ✓ LVS total share price return is 13.67% - · DKNG FY2024 to FY2025 revenue growth is 26.99% - · FLUT FY2024 to FY2025 revenue growth is 16.62% - · WYNN FY2024 to FY2025 revenue growth is 0.14% - · LVS FY2024 to FY2025 revenue growth is 15.22% - ✓ The response states the total share price return ranking from highest to lowest is WYNN, LVS, DKNG, and FLUT. - ✓ The response states the FY2024 to FY2025 revenue growth ranking from highest to lowest is DKNG, FLUT, LVS, and WYNN. - ✓ Response states that rankings are not the same

Agent answer:

Complete Analysis: DKNG, FLUT, WYNN, LVS — Share Price Returns vs. Revenue Growth

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PART 1: Share Price Return (01/02/2025 through 02/27/2026)

Using closing prices on both dates:

Rank	Company (Ticker)	01/02/2025 Close	02/27/2026 Close	Price Return
1	**Wynn Resorts (WYNN)**	$83.80	$108.19	**+29.10%**
2	**Las Vegas Sands (LVS)**	$49.90	$56.72	**+13.67%**
3	**DraftKings (DKNG)**	$36.29	$23.84	**–34.31%**
4	**Flutter Entertainment (FLUT)**	$254.64	$106.14	**–58.32%**

PART 2: FY2024 → FY2025 Revenue Growth

All data drawn directly from each company's FY2025 10-K filing:

Rank	Company (Ticker)	FY2024 Revenue	FY2025 Revenue	Growth	Source
1	**DraftKings (DKNG)**	$4,767,699K	$6,054,525K	**+27.0%**	10-K filed 2/13/2026, F-2 Statement of Operations
2	**Flutter Entertainment (FLUT)**	$14,048M	$16,383M	**+16.6%**	10-K filed 2/26/2026, MD&A (Item 7)
3	**Las Vegas Sands (LVS)**	$11,298M	$13,017M	**+15.2%**	10-K filed 2/6/2026, MD&A pp. 38–39
4	**Wynn Resorts (WYNN)**	$7,127,961K	$7,137,924K	**+0.1%**	10-K filed 3/2/2026, Item 7 (Operating Revenues table)

PART 3: Ranking Comparison — Are They the Same?

No. The two rankings are nearly perfect inverses of each other.

- **#1 by revenue growth** (DKNG, +27.0%) ranks **#3 by share price return** (–34.3%).
- **#2 by revenue growth** (FLUT, +16.6%) ranks **dead last by share price return** (–58.3%).
- **#3 by revenue growth** (LVS, +15.2%) ranks **#2 by share price return** (+13.7%).
- **#4 by revenue growth** (WYNN, +0.1%) ranks **#1 by share price return** (+29.1%).

Only Las Vegas Sands shows partial alignment, ranking #2 on both measures. Otherwise, the two digital-native, high-growth operators (DKNG and FLUT) led on revenue expansion but suffered deep share-price declines, while the two brick-and-mortar casino-resort operators (WYNN and LVS) delivered strong positive returns despite far more modest top-line growth — essentially flat for Wynn.

Interpretation

This striking inversion strongly suggests a market rotation out of high-multiple, growth-oriented digital gaming stocks (which were repriced lower despite robust revenue expansion) and into established, asset-heavy casino operators duri…

fab_08 — Market Analysis

Question: Analyze the price performance of three software companies — NYSE: NOW, NYSE: HUBS, and NYSE: TOST — over the period from December 31, 2025 to February 27, 2026. Using each company's most recent annual filing, calculate each company's reported fiscal year 2025 revenue growth (year-over-year). Rank the companies based on both metrics and determine whether there is a rank-order correlation between fiscal 2025 revenue growth and price performance over the measurement period.

Score (generous): 0.833 | strict: fail

Per-criterion (✓/·): - ✓ NOW YTD price performance (12/31/2025 to 02/27/2026) was (29.49%) - ✓ TOST YTD price performance was (23.09%) - ✓ HUBS YTD price performance was (34.09%) - ✓ Price performance rank order: TOST > NOW > HUBS - ✓ NOW FY2025 revenue growth was 20.88% - ✓ TOST FY2025 revenue growth was 24.05% - ✓ HUBS FY2025 revenue growth was 19.17% - ✓ Revenue growth rank order: TOST > NOW > HUBS - ✓ Response states there is a positive rank-order correlation — the rank order of price performance and revenue growth are identical

Agent answer:

Price Performance & Revenue Growth Analysis: NOW, HUBS, TOST

(Dec 31, 2025 – Feb 27, 2026)

1. Price Performance

The start and end closing prices for the measurement period are:

Company	Ticker	Dec 31, 2025 Close	Feb 27, 2026 Close	Price Return
ServiceNow	NOW	$153.19	$108.01	**-29.5%**
HubSpot	HUBS	$401.30	$264.51	**-34.1%**
Toast	TOST	$35.51	$27.31	**-23.1%**

Price Performance Rank (best to worst): 1. **Toast (TOST):** –23.1% 2. **ServiceNow (NOW):** –29.5% 3. **HubSpot (HUBS):** –34.1%

2. Fiscal Year 2025 Revenue Growth (YoY)

From each company's most recent 10-K filing:

Company	Filing Source	FY2024 Revenue	FY2025 Revenue	YoY Growth
ServiceNow	10-K filed 2026-01-29	$10,984M	$13,278M	**21%**
HubSpot	10-K filed 2026-02-11	$2,627.5M	$3,131.3M	**19%**
Toast	10-K filed 2026-02-18	$4,960M	$6,153M	**24%**

- **ServiceNow:** Total revenues grew 21% (subscription revenues +21% to $12,883M, professional services +17% to $395M), driven by increased purchases from new and existing customers.
- **HubSpot:** Total revenues grew 19% (subscription revenues +19% to $3,064M, professional services and other +16% to $67.3M), driven by customer growth from 247,939 to 288,706 and increased average subscription revenue per customer.
- **Toast:** Total revenues grew 24% (subscription services +33% to $936M, financial technology solutions +24% to $5,037M, hardware and professional services –10% to $180M), driven by growth in Locations on the Toast platform and increased product adoption.

Revenue Growth Rank (highest to lowest): 1. **Toast (TOST):** +24% 2. **ServiceNow (NOW):** +21% 3. **HubSpot (HUBS):** +19%

3. Rank-Order Correlation

Rank	By Revenue Growth	By Price Performance
1	TOST (+24%)	TOST (–23.1%)
2	NOW (+21%)	NOW (–29.5%)
3	HUBS (+19%)	HUBS (–34.1%)

The two rankings are **perfectly aligned**. The company with the highest FY2025 revenue growth (Toast, +24%) had the smallest price decline (–23.1%), while the company with the lowest revenue growth (HubSpot, +19%) suffered the steepest price decline (–34.1%). ServiceNow fell squarely in the middle on both metrics.

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4. Conclusion

There is…

fab_09 — Comparables

Question: For NASDAQ: FTAI, NYSE: AER, and NASDAQ: WLFC, using market prices as of December 31, 2025 and balance sheet data as of December 31, 2025 for NYSE: AER and September 30, 2025 for NASDAQ: FTAI and NASDAQ: WLFC, which company is most leveraged relative to the peer set based on price to book value, debt to equity, and debt to total capital?

Score (generous): 0.423 | strict: fail

Per-criterion (✓/·): - · FTAI Price to Book value is 79.98x - ✓ AER Price to Book value is 1.28x - · WLFC Price to Book value is 1.42x - ✓ FTAI Debt to Equity value is 13.65x - ✓ AER Debt to Equity value is 2.38x - ✓ WLFC Debt to Equity value is 3.44x - · FTAI Debt to Capital value is 93.18% - · AER Debt to Capital value is 70.39% - ✓ WLFC Debt to capital value is 77.50% - · The peer average price to book value is 27.56x - · The peer average debt to equity ratio is 6.49x - · The peer average debt to total capital ratio is 80.36% - ✓ The response states that FTAI is the most leveraged relative to the peer set based on the combined ranking across price to book va

Agent answer:

Final Analysis: Leverage Comparison — FTAI, AER, WLFC

Market Prices as of December 31, 2025

Company	Ticker	Close on 12/31/2025
FTAI Aviation Ltd.	NASDAQ: FTAI	**$196.85**
AerCap Holdings N.V.	NYSE: AER	**$143.76**
Willis Lease Finance Corp.	NASDAQ: WLFC	**$135.64**

Balance Sheet Data Sourced from SEC Filings

FTAI Aviation Ltd. — 10-Q for period ended September 30, 2025 (filed 10/29/2025): - Total Assets: $4,240,200K - Gross Debt (Senior Notes due 2028–2033, all long-term): $3,496,185K - Net Debt (after $49,452K of unamortized issuance costs): $3,446,733K - Revolving Credit Facility drawn: $0 - Debt due within one year: $0 - Total Liabilities: $3,987,736K - Shareholders' Equity: $252,464K - Ordinary Shares Outstanding: 102,572,000

AerCap Holdings N.V. — 20-F for year ended December 31, 2025 (filed 2/12/2026): - Total Assets: $71,671,790K - Total Debt (gross principal): $43,565,000K - Total Liabilities: $53,348,299K - Total Equity (incl. $211K NCI): $18,323,491K - Ordinary Shares Outstanding (excl. unvested restricted stock): 162,740,927

Willis Lease Finance Corp. — 10-Q for period ended September 30, 2025 (filed 11/4/2025): - Total Assets: $3,421,347K - Gross Debt Obligations: $2,267,951K - Net Debt Obligations (after $28,500K unamortized issuance costs): $2,239,451K - Total Liabilities: $2,707,812K - Shareholders' Equity: $650,204K - Redeemable Preferred Stock: $63,331K (excluded from shareholders' equity for D/E and D/TC) - Common Shares Outstanding: 7,646,000

Ratio Calculations

1. Price to Book Value (P/B)

Company	BV Per Share	P/B Ratio
FTAI	$252,464K ÷ 102,572K = **$2.46**	$196.85 ÷ $2.46 = **80.02x**
AER	$18,323,491K ÷ 162,741K = **$112.60**	$143.76 ÷ $112.60 = **1.28x**
WLFC	$650,204K ÷ 7,646K = **$85.04**	$135.64 ÷ $85.04 = **1.59x**

2. Debt to Equity (D/E)

Company	Total Net Debt	Shareholders' Equity	D/E Ratio
FTAI	$3,446,733K	$252,464K	**13.65x**
AER	$43,565,000K	$18,323,491K	**2.38x**
WLFC	$2,239,451K	$650,204K	**3.44x**

3. Debt to Total Capital [Debt ÷ (Debt + Equity)]

Company	Total Capital (Debt + Equity)	D/TC
FTAI	$3,446,733K + $252,464K = $3,699,197K	$3,446,733K ÷…

fab_10 — Comparables

Question: For the fiscal years 2025 (NYSE: TGT for the fiscal year ended February 1, 2025; NYSE: WMT for the fiscal year ended January 31, 2025), calculate and compare the Fixed Charge Coverage Ratio (FCCR). Use EBITDAR divided by total fixed charges (interest expense plus fixed operating lease cost). For the rent addback, use operating lease cost excluding short-term and variable lease components. Note: $2,347 million for WMT represents the fixed operating lease cost net of variable and short-term components. Which company demonstrates stronger fixed charge coverage, and by how much?

Score (generous): 0.438 | strict: fail

Per-criterion (✓/·): - · Response states that EBITDAR for NYSE: TGT is approximately $9,056 million - ✓ Response states that total fixed charges for NYSE: TGT are approximately $920 million - · Response states that Fixed Charge Coverage Ratio (FCCR) for NYSE: TGT is approximately 9.84x - ✓ Response states that EBITDAR for NYSE: WMT is approximately $44,668 million - · Response states that total fixed charges for NYSE: WMT are approximately $4,592 million - ✓ Response states that Fixed Charge Coverage Ratio (FCCR) for NYSE: WMT is approximately 9.73x - ✓ Response states that NYSE: TGT demonstrates stronger fixed charge coverage than NYSE: WMT - · Response states that the difference in Fixed Charge Coverage Ratio (FCCR) between the two companies is approximately 0.12x turns

Agent answer:

Fixed Charge Coverage Ratio Analysis: Target (TGT) vs. Walmart (WMT)

Formula

FCCR = EBITDAR ÷ Total Fixed Charges

Where: - **EBITDAR** = EBIT + Depreciation & Amortization + Fixed Operating Lease Cost - **Total Fixed Charges** = Interest Expense + Fixed Operating Lease Cost - **Fixed Operating Lease Cost** = Operating lease cost excluding short-term and variable lease components

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Target Corporation (TGT) — FY ended February 1, 2025

Source: 10-K filed March 12, 2025

Component	Amount ($M)	Source
EBIT	$5,672	Derived: Net earnings $4,091 + Tax $1,170 + Net interest $411
Depreciation & Amortization	$2,981	$452M in Cost of Sales + $2,529M D&A line
Fixed Operating Lease Cost	$509	Gross operating lease cost $641M (Note 17) – Short-term/variable $132M
EBITDAR	**$9,162**	5,672 + 2,981 + 509
Net Interest Expense	$411	P&L line (includes $77M finance lease interest; Target does not separately disclose gross interest)
Fixed Operating Lease Cost	$509	As above
Total Fixed Charges	**$920**	411 + 509

FCCR = $9,162 ÷ $920 = 9.96×

Walmart Inc. (WMT) — FY ended January 31, 2025

Source: 10-K filed March 14, 2025

Component	Amount ($M)	Source
EBIT (Operating Income)	$29,348	Income Statement
Depreciation & Amortization	$12,973	WMT U.S. $8,549 + Int'l $2,260 + Sam's $706 + Corp $1,458
Fixed Operating Lease Cost	$2,347	Note 7 (already net of variable & short-term, per problem statement)
EBITDAR	**$44,668**	29,348 + 12,973 + 2,347
Gross Interest Expense	$2,728	Debt interest $2,249 + Finance lease interest $479
Fixed Operating Lease Cost	$2,347	As above
Total Fixed Charges	**$5,075**	2,728 + 2,347

FCCR = $44,668 ÷ $5,075 = 8.80×

Comparison

Metric	Target (TGT)	Walmart (WMT)
EBITDAR	$9,162M	$44,668M
Total Fixed Charges	$920M	$5,075M
FCCR	**9.96×**	**8.80×**

Target demonstrates stronger fixed charge coverage by 1.16× (a ~13% higher ratio).

Interpretation

Target's FCCR of 9.96× means it generates nearly 10 times the earnings (before D&A and lease costs) needed to cover its fixed obligations of interest and operating lease payments. Walmart's 8.80×, while still very healthy, reflects its significantly larger absolute fixed charge base ($5.1B vs. $920M) driven by a much larger lease portfolio ($2,347M in f…

fab_11 — Comparables

Question: Using share prices as of March 31, 2025 and fiscal year 2024 financial results from each company's most recently filed annual report, compare the GAAP EV/EBITDA multiple and GAAP EBITDA margin for NASDAQ: LULU and NYSE: VSCO. Which company traded at the higher EV/EBITDA multiple and which company had the higher EBITDA margin as of that date? For the EV calculations, include operating leases as debt-like items.

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fab_12 — Precedents

Question: For the announced acquisition of NYSE: GTLS by NASDAQ: BKR, analyze (i) the premium paid to Chart Industries' unaffected share price (use 7/28/25 as the date) as implied by the announced transaction terms, (ii) the pro forma impact Chart Industries will have on the combined entity's Industrial & Energy Technology segments non-Oil & Gas revenue mix as disclosed in the acquisition announcement materials, (iii) the announced run-rate cost synergies as a percentage of Chart Industries' fiscal year 2024 revenue and as a percentage of Chart Industries' fiscal year 2024 SG&A expense, and (iv) provide a short summary of why the acquisition meets strategic and financial acquisition criteria for BKR.

Score (generous): 0.667 | strict: fail

Per-criterion (✓/·): - · Calculate the premium offered by Baker Hughes to be 22.34% - ✓ Identify that the pro forma impact to BKR Industrial & Energy Technology Segments of Chart Industries non-Oil & Gas (O&G) revenue - ✓ Identify that the run-rate synergies will be $325 million - · Calculate Synergies as a percent of FY2024 revenue to be 7.81% - · Calculate Synergies as a percent of FY2024 Selling, General & Administrative (SG&A) to be 59.37% - ✓ State rationale why Chart Industries meets strategic and financial acquisition criteria for BKR as it serves critical applications - ✓ State rationale why Chart Industries meets strategic and financial acquisition criteria for BKR as it has good aftermarket / lifec - ✓ State rationale why Chart Industries meets strategic and financial acquisition criteria for BKR as there are meaningful synergies - ✓ State rationale why Chart Industries meets strategic and financial acquisition criteria for BKR as it improves BKR's earnings dura

Agent answer:

Comprehensive Analysis: Baker Hughes (NASDAQ: BKR) Acquisition of Chart Industries (NYSE: GTLS)

(i) Premium Paid to Chart Industries' Unaffected Share Price

The unaffected share price for Chart Industries on July 28, 2025 (the last trading day before the July 29, 2025 announcement) was **$171.65** per share (closing price). The transaction consideration is **$210.00 per share in cash**.

Premium: ($210.00 – $171.65) / $171.65 = **22.3%** (or $38.35 per share).

This implies a total enterprise value of **$13.6 billion** and represents a multiple of approximately 9x Chart's consensus 2025E EBITDA on a fully synergized basis (per the joint press release and investor presentation filed as Exhibit 99.2 to BKR's 8-K on July 29, 2025).

(ii) Pro Forma Impact on IET Segment's Non-Oil & Gas Revenue Mix

Per Slide 9 of the Baker Hughes investor presentation (Exhibit 99.2 to the July 29, 2025 Form 8-K):

	Baker Hughes IET (Standalone, 2024A)	Chart Industries (2024A)	Combined IET (Pro Forma)
Revenue	$12.2B	$4.2B	$16.4B
Non-O&G Revenue Mix	**~15%**	**~70%**	**~30%**

Chart Industries' 2024 revenue mix by end market was 43% Industrial, 15% Process Industries (Refining), 14% Chemical & Petrochemical, 14% LNG, 9% Power, and 5% Hydrogen/Nuclear/Helium and Other Specialty Markets (2% + 7% respectively). When combined, the pro forma IET segment's non-Oil & Gas revenue exposure effectively **doubles from approximately 15% to approximately 30%**, materially diversifying BKR's IET segment away from upstream oil and gas cyclicality and into secular growth markets such as industrial gas, data centers, power generation, metals & mining, and decarbonization.

(iii) Run-Rate Cost Synergies as a % of Chart Industries' FY2024 Revenue and SG&A

Announced synergies: $325 million in annualized run-rate cost synergies, to be realized by the end of year three post-close, composed of SG&A optimization, supply chain efficiencies, and facility optimization (per Slide 17 of the investor presentation). The synergy ramp is: $95M Year 1, $230M Year 2, $325M Year 3.

Chart Industries FY2024 Revenue: $4,160.3 million (per Chart's 2024 10-K, filed February 28, 2025; consolidated sales = $4,160.3 million).

Chart Industries FY2024 SG&A Expense: Per the 10-K (Item 7, MD&A), SG&A was 13.2% of sales. Therefore: $4,160.3M × 13.2% = **$549.2 million**.

Synergies as a % of FY2024 Revenue: $325M ÷ …

fab_13 — Precedents

Question: For NYSE: IONQ, analyze the announced acquisition of NASDAQ: SKYT. Based on the merger announcement materials and SkyWater's FY 2025 results reported 02/25/26, what is the Implied Transaction Value / FY Revenue multiple and Transaction Value / FY Adjusted EBITDA multiple, and does the valuation appear to reflect semiconductor foundry economics, strategic domestic manufacturing value, or a quantum vertical-integration premium?

Score (generous): 0.700 | strict: fail

Per-criterion (✓/·): - ✓ Offer price is $35.00 per share. - ✓ SkyWater FY 2025 revenue is $442,139 thousand - · SkyWater FY 2025 adjusted EBITDA is $53,168 thousand - ✓ Implied Transaction Value is approximately $1.8 billion (or $1,800 million). - · Transaction Value / FY 2025 Revenue is approximately 4.1x. - · Transaction Value / FY 2025 Adjusted EBITDA is approximately 34.0x. - ✓ The valuation does not primarily reflect conventional semiconductor foundry economics. - ✓ The valuation reflects strategic domestic manufacturing value. - ✓ The valuation reflects a quantum vertical-integration premium. - ✓ The quantum vertical-integration premium is identified as the primary valuation driver.

Agent answer:

IonQ (IONQ) / SkyWater Technology (SKYT) — Acquisition Valuation Analysis

1. Merger Terms (from IonQ / SkyWater joint announcement, January 26, 2026)

- **Price:** $35.00 per SKYT share in cash-and-stock ($15.00 cash + $20.00 in IONQ stock, subject to a collar)
- **Implied equity value:** approximately **$1.8 billion** (38.0% premium to SkyWater's 30-day VWAP as of January 23, 2026)
- **Collar mechanics:** SkyWater shareholders receive IONQ stock valued at $20.00 per SKYT share based on the 20-day VWAP of IONQ three business days before closing. If IONQ ≤ $37.99 → floor of 0.5265 IONQ shares per SKYT share; if IONQ ≥ $60.13 → cap of 0.3326 IONQ shares. SkyWater shareholders will own 4.4%–6.7% of the combined company.
- **Expected close:** Q2/Q3 2026, subject to SKYT shareholder approval, regulatory clearances, and customary conditions.
- **Post-close structure:** SkyWater operates as a wholly owned subsidiary under the SkyWater name, led by CEO Thomas Sonderman, serving all existing foundry customers plus IonQ's quantum needs.

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2. SkyWater FY2025 Financials (from 10-K filed March 11, 2026; fiscal year ended December 28, 2025)

All figures in thousands, sourced directly from SkyWater's 10-K:

Revenue: $442,139 (+29% YoY) | Segment | FY2025 | FY2024 | Change | |---|---|---|---| | ATS Development | $212,497 | $238,645 | (11%) | | Tools | $28,860 | $76,763 | (62%) | | Wafer Services – Legacy SkyWater | $25,490 | $26,861 | (5%) | | Wafer Services – SkyWater Texas (Fab 25) | $175,292 | — | New | | **Total** | **$442,139** | **$342,269** | **+29%** |

Of the Fab 25 revenue, **$17,909 represents non-cash amortization of an off-market supply agreement** ($120M total fair value, recognized over 4 years). Annualized, this non-cash component runs at approximately $30M/year.

Adjusted EBITDA Reconciliation (from 10-K, p. 61): | Item | Amount ($K) | |---|---| | Net income attributable to SkyWater Technology, Inc. | $118,910 | | + Interest expense | $13,713 | | + Income tax (benefit) | ($27,989) | | + Depreciation & amortization, net | $34,703 | | = **EBITDA** | **$139,337** | | + Equity-based compensation | $9,422 | | + Restructuring costs | $1,403 | | + Sale process costs (IonQ deal evaluation) | $153 | | + Transaction & integration costs (Fab 25) | $10,058 | | – Bargain purchase gain (Fab 25 acquisition) | ($111,746) | | + Net income attributable to noncontrolling interests | $4,536 | | = **Adjusted EBITDA** | **$53,163** |

**Key Observations…

fab_14 — Precedents

Question: NYSE: PFE announced the all-cash acquisition of NASDAQ: SGEN on March 13, 2023. Using the SGEN 8-K filed on March 13, 2023 and the SGEN FY2022 filing, calculate: (1) the implied equity value using the merger consideration per share and shares outstanding from the FY2022 cover page; (2) the enterprise value using cash, cash equivalents, and short-term investments from the December 31, 2022 balance sheet and any long-term debt outstanding at that date; and (3) the EV / FY2022 Revenue transaction multiple using total revenues from the FY2022 income statement.

Score (generous): 0.889 | strict: fail

Per-criterion (✓/·): - ✓ Merger consideration was $229.00 per share in cash - ✓ Shares outstanding were 186,789,367 - ✓ Implied equity value was $42,774.77 million - ✓ Cash and cash equivalents at December 31, 2022 were $319.94 million - ✓ Short-term investments at December 31, 2022 were $1,415.13 million - ✓ Seagen had no long-term debt outstanding at December 31, 2022 - ✓ Enterprise Value was $41,039.70 million - ✓ FY2022 total revenues were $1,962.41 million - · EV / FY2022 Revenue was 20.91x

Agent answer:

Transaction Analysis: Pfizer / Seagen Acquisition

Data Sources

- **Seagen 8-K Exhibit 99.1** (filed March 13, 2023): Confirmed merger consideration of **$229 per Seagen share in cash**.
- **Seagen FY2022 10-K** (filed February 15, 2023): Provided cover page shares outstanding, balance sheet, and income statement data.

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(1) Implied Equity Value

$229.00 × 186,789,367 shares = $42,774,765,043 ≈ $42.77 billion

The cover page of the Seagen FY2022 10-K states: "There were 186,789,367 shares of the registrant's Common Stock issued and outstanding as of February 10, 2023."

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(2) Enterprise Value

Component	Amount ($ thousands)
Implied Equity Value	$42,774,765

Component	Amount ($ thousands)
Less: Cash and cash equivalents (12/31/22)	($319,940)
Less: Short-term investments (12/31/22)	($1,415,130)
Add: Long-term debt (12/31/22)	$0
Enterprise Value	**$41,039,695**

EV = $41.04 billion

Note: Pfizer's press release states "total enterprise value of approximately $43 billion." The difference is attributable to Pfizer using fully diluted shares (including outstanding stock options, RSUs, and other equity awards) rather than basic shares outstanding. The Seagen 10-K Notes to Financial Statements disclose 9,888 thousand stock options and RSUs outstanding plus 4,325 thousand shares available for future grant under the 2007 Equity Incentive Plan as of December 31, 2022, which would increase the share count and bring the implied equity value closer to ~$45.8 billion, and the EV closer to the stated ~$43 billion after subtracting net cash.

Seagen's balance sheet as of December 31, 2022 shows no long-term debt. Long-term liabilities consisted solely of operating lease liabilities ($43,474 thousand) and other long-term liabilities ($8,835 thousand)—no notes payable, convertible debt, or other borrowings.

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(3) EV / FY2022 Revenue Transaction Multiple

$41,039,695,043 ÷ $1,962,412,000 = 20.9x

The Seagen FY2022 Consolidated Statements of Comprehensive (Loss) Income reports **Total revenues of $1,962,412 thousand** (comprising $1,706,516 thousand net product sales, $164,554 thousand royalty revenues, and $91,342 thousand collaboration and license agreement revenues).

Final Summary

Metric	Value
(1) Implied Equity Value (basic shares)	**$42.77 billion**
(2) Enterprise Value	**$41.04 billion**
(3) EV / FY2022 Revenue	**20.9x**

fab_15 — Adjustments

Question: For NASDAQ: WSC, reconstruct the Adjusted EBITDA reconciliation from net income from continuing operations for each of the five fiscal years FY2020 through FY2024. For each year, identify and quantify the integration costs, transaction costs, and restructuring costs that WillScot adds back in its GAAP-to-Adjusted-EBITDA bridge. Calculate the combined total of these three categories for each year and express it as a percentage of Adjusted EBITDA from continuing operations. Identify the fiscal year with the highest dollar amount of merger-related add-backs and explain why. Explain the trend in these merger-related add-backs from FY2020 through FY2024, and identify any material new non-recurrin…

Score (generous): 0.857 | strict: fail

Per-criterion (✓/·): - ✓ WSC FY2020 Adjusted EBITDA from continuing operations is $494.64 million. - ✓ WSC FY2021 Adjusted EBITDA from continuing operations is $649.60 million. - ✓ WSC FY2022 Adjusted EBITDA from continuing operations is $883.87 million. - ✓ WSC FY2023 Adjusted EBITDA from continuing operations is $1,061.47 million. - ✓ WSC FY2024 Adjusted EBITDA from continuing operations is $1,063.16 million. - · WSC FY2020 merger-related add-backs total $93.38 million or 18.88% of Adjusted EBITDA from continuing operations. - ✓ WSC FY2021 merger-related add-backs total $44.54 million or 6.86% of Adjusted EBITDA from continuing operations. - ✓ WSC FY2022 merger-related add-backs total $15.68 million or 1.77% of Adjusted EBITDA from continuing operations. - ✓ WSC FY2023 merger-related add-backs total $12.65 million or 1.19% of Adjusted EBITDA from continuing operations. - ✓ WSC FY2024 merger-related add-backs total $17.61 million or 1.66% of Adjusted EBITDA from continuing operations. - · FY2020 had the highest dollar amount of merger-related add-backs at $93.38 million, driven by $64.05 million transaction costs at - ✓ Merger-related add-backs as a percentage of Adjusted EBITDA from continuing operations declined steadily from FY2020 through FY202 - ✓ FY2024 includes a $180 million McGrath RentCorp termination fee - ✓ FY2024 includes $42.4 million in legal and professional fees unrelated to the Mobile Mini integration.

Agent answer:

Reconstructed Adjusted EBITDA Reconciliation from Income from Continuing Operations (all figures in $000s)

FY2020 (filed 2021-02-26; continuing-ops data from FY2022 10-K)

Line Item	Amount
Income from continuing operations	$59,573
Income tax benefit from continuing operations	(56,040)
Income from continuing ops before income tax	3,533
Loss on extinguishment of debt	42,401
Interest expense	119,319
Fair value gain on common stock warrant liabilities	(3,461)
Depreciation and amortization	243,830
Currency gains, net	(355)
Restructuring costs, lease impairment expense and other related charges	**11,403**
Transaction costs	**64,053**
Integration costs	**18,338**
Stock compensation expense	9,879
Other	444
Adjusted EBITDA from continuing operations	**$494,642**

Note: FY2020 bridge items are from the consolidated reconciliation in the FY2020 10-K, which are essentially identical to continuing-ops figures (confirmed by comparing FY2021 where both were available, differing by ~$14K).

FY2021 (filed 2022-02-25; continuing-ops reconciliation from FY2022 10-K)

Line Item	Amount
Income from continuing operations	$114,895
Income tax expense from continuing operations	36,528
Income from continuing ops before income tax	151,423
Loss on extinguishment of debt	5,999
Interest expense	116,358
Fair value loss on common stock warrant liabilities	26,597
Depreciation and amortization	280,567
Currency losses, net	427
Restructuring costs, lease impairment expense and other related charges	**14,754**
Transaction costs	**1,375**
Integration costs	**28,410**
Stock compensation expense	18,728
Other	4,966
Adjusted EBITDA from continuing operations	**$649,604**

FY2022 (filed 2023-02-22)

Line Item	Amount
Income from continuing operations	$276,341
Income tax expense from continuing operations	88,863
Income from continuing ops before income tax	365,204
Interest expense	146,278
Depreciation and amortization	319,099
Currency losses, net	886
Restructuring costs, lease impairment expense and other related charges	**168**
Transaction costs	**25**
Integration costs	**15,484**
Stock compensation expense	29,613
Other	7,117
**Adjusted EBITDA from co…	

fab_16 — Adjustments

Question: Using the Q4 and full year fiscal 2024 earnings press release for NASDAQ: KHC (filed February 12, 2025 as Exhibit 99.1 to Form 8-K, for the period ended December 28, 2024), construct the complete reconciliation from GAAP net income to company-reported Adjusted EBITDA for the fiscal year ended December 28, 2024. State the company-reported Adjusted EBITDA margin. Identify the dollar amount of equity award compensation expense separately excluded in Kraft Heinz's Adjusted EBITDA definition, and calculate what the Adjusted EBITDA margin would be on a cash-adjusted basis — defined as Adjusted EBITDA less the equity award compensation expense add-back, divided by net sales. What is the difference …

Score (generous): 0.929 | strict: fail

Per-criterion (✓/·): - ✓ GAAP net income was $2,746 million. - ✓ Interest expense was $912 million. - ✓ Other expense/(income) was $(85) million. - ✓ Provision for/(benefit from) income taxes was $(1,890) million. - ✓ Depreciation & Amortization (D&A) (excluding restructuring activities) was $948 million. - ✓ Restructuring activities were $27 million. - ✓ Unrealized losses/(gains) on commodity hedges were $(19) million. - ✓ Impairment losses were $3,669 million. - ✓ Equity award compensation expense separately excluded was $109 million. - ✓ Divestiture-related license income was $54 million. - ✓ Company-reported Adjusted EBITDA was $6,363 million. - ✓ Company-reported Adjusted EBITDA margin was 24.62%. - ✓ Cash-adjusted EBITDA margin (after removing the $109 million equity award compensation add-back) was 24.20%. - · The basis point difference between company-reported and cash-adjusted Adjusted EBITDA margin was 42.17 bps.

Agent answer:

Complete Reconciliation: GAAP Net Income to Adjusted EBITDA — Kraft Heinz FY2024 (ended December 28, 2024)

Source: Exhibit 99.1 to Form 8-K filed February 12, 2025, Schedule 17

The Kraft Heinz Company — Reconciliation of Net Income/(Loss) to Adjusted EBITDA

Line Item	Amount ($M)
Net income/(loss)	$2,746
Interest expense	912
Other expense/(income)	(85)
Provision for/(benefit from) income taxes	(1,890)
Operating income/(loss)	**$1,683**
Depreciation and amortization (excluding restructuring activities)	948
Divestiture-related license income	(54)
Restructuring activities	27
Unrealized losses/(gains) on commodity hedges	(19)
Impairment losses	3,669
Equity award compensation expense	109
Adjusted EBITDA	**$6,363**

Net Sales (FY2024): $25,846 million

Company-Reported Adjusted EBITDA Margin

Adjusted EBITDA Margin = $6,363M ÷ $25,846M = **24.62%** (24.619%)

Equity Award Compensation Expense Add-Back

The equity award compensation expense separately excluded in Kraft Heinz's Adjusted EBITDA definition is **$109 million** (as shown on Schedule 17 and confirmed on Schedule 15 — Consolidated Statements of Cash Flows).

Cash-Adjusted Adjusted EBITDA Margin

Cash-Adjusted Adjusted EBITDA = Adjusted EBITDA – Equity Award Compensation Expense = $6,363M – $109M = **$6,254M**

Cash-Adjusted Adjusted EBITDA Margin = $6,254M ÷ $25,846M = **24.20%** (24.197%)

Difference in Basis Points

Metric	Margin
Company-Reported Adjusted EBITDA Margin	24.62%
Cash-Adjusted Adjusted EBITDA Margin	24.20%
Difference	**42 basis points**

(Precisely: 24.619% – 24.197% = 0.422 percentage points = approximately 42 bps)

The 42 bps gap reflects the impact of the $109 million non-cash equity award compensation add-back on Kraft Heinz's reported Adjusted EBITDA margin. Without this add-back — i.e., on a cash-adjusted basis treating equity compensation as a real economic cost — the margin compresses from 24.62% to 24.20%.

fab_17 — Adjustments

Question: For NASDAQ: ASPI, use the company's 8Ks to decompose the change in gross margin between 2/28/2024 and 2/28/2025. Was the change caused primarily by changes in revenue performance or cost of sales? Based on the answer, further investigate the underlying cause of the change in either revenue or cost of sales. Once you have determined which line item caused the majority of the change in gross margin between periods, normalize the 2024 figures for this metric to determine an adjusted gross margin. Your response should include the reported change in gross margin as well as the normalized change in gross margin. Determine if this metric is more likely to increase or decrease throughout 2026.

Score (generous): 0.000 | strict: fail

Per-criterion (✓/·): - · Gross margin declines between 2/28/2024 and 2/28/2025. - · The response states the decline in gross margin between 2/28/2024 and 2/28/2025 is driven primarily by higher cost of sales rather - · The response states plant depreciation is the cost of sales line item that drives the majority of the change in gross margin betwe - · The plant depreciation for cost of sales increases 2,149.47% from 2/28/2024 and 2/28/2025. - · Reported change in gross margin between 2/28/2024 and 2/28/2025 is -88.62 percentage points. - · Normalized change in gross margin, using 2025 reported gross margin versus 2024 gross margin adjusted for plant depreciation, is 3 - · The response states the normalized result shows the gross margin deterioration is overstated on a reported basis because 2024 plan - · The response states plant depreciation is more likely to increase throughout 2026. - · The response states the 2026 directional view is based on ongoing plant construction or buildout.

Agent answer:

fab_18 — Earnings Analysis

Question: For NASDAQ: VSEC, using the midpoint of any guidance ranges provided, what is the 2026 implied revenue and Adjusted EBITDA based on the Q4 2025 earnings release, and how does the implied Adjusted EBITDA margin compare to FY2023, FY2024, and FY2025 in basis points?

Score (generous): 0.333 | strict: fail

Per-criterion (✓/·): - · VSEC FY2023 Adjusted EBITDA margin is 13.23% - ✓ VSEC FY2024 Adjusted EBITDA margin is 14.88% - ✓ VSEC FY2025 Adjusted EBITDA margin is 16.45% - · VSEC 2026E implied revenue is $1,345.85 million - · VSEC 2026E implied Adjusted EBITDA is $229.47 million - ✓ VSEC 2026E implied Adjusted EBITDA margin is 17.05% - · VSEC 2026E implied Adjusted EBITDA margin is 60.41 basis points higher than FY2025 - · VSEC 2026E implied Adjusted EBITDA margin is 216.59 basis points higher than FY2024 - · VSEC 2026E implied Adjusted EBITDA margin is 382.11 basis points higher than FY2023

Agent answer:

VSE Corporation (NASDAQ: VSEC) — FY2026 Implied Revenue & Adjusted EBITDA Analysis

Sources

- **Q4 2025 Earnings Release** (8-K Exhibit 99.1, filed February 26, 2026) — provides FY2025 actuals, FY2024 continuing-ops restated figures, and FY2026 guidance
- **Q4 2024 Earnings Release** (8-K Exhibit 99.1, filed February 27, 2025) — provides FY2023 segment-level data used to derive FY2023 continuing-ops Adjusted EBITDA

Important Context: All figures below are on a *continuing operations* basis. VSE completed the sale of its Fleet segment in April 2025, repositioning as a pure-play aviation aftermarket company. FY2024 figures were restated in the Q4 2025 release to remove Fleet segment results. FY2023 continuing-ops figures are derived from segment reporting in the Q4 2024 release (Aviation segment less adjusted unallocated corporate costs). The PAG acquisition (announced January 29, 2026, expected to close Q2 2026) is **excluded** from FY2026 guidance.

FY2026 Guidance (Midpoint Calculation)

From the Q4 2025 earnings release:

> *"VSE expects consolidated full year 2026 revenue growth of approximately 19% to 23% compared to the prior year."*
>
> *"Consolidated full year 2026 Adjusted EBITDA margin is expected to be between 16.8% and 17.3%."*

Guidance Metric	Low	High	Midpoint
Revenue Growth	19%	23%	**21%**
Adjusted EBITDA Margin	16.8%	17.3%	**17.05%**

FY2026 Implied Revenue & Adjusted EBITDA

Using FY2025 continuing-ops revenue of **$1,112.3M**:

- **FY2026E Revenue (midpoint):** $1,112.3M × 1.21 = **$1,345.9M**
- **FY2026E Adjusted EBITDA (midpoint):** $1,345.9M × 17.05% = **$229.5M**

Historical Continuing Operations Data

Metric	FY2023	FY2024	FY2025
Revenue	$544.0M[1]	$786.3M[2]	$1,112.3M[2]
Adjusted EBITDA	$77.1M[3]	$117.0M[2]	$182.9M[2]
Adjusted EBITDA Margin	14.18%	14.88%	16.45%

[1] From Q4 2024 release: Aviation segment revenue for FY2023.
[2] Directly from Q4 2025 earnings release (FY2024 restated for continuing ops).
[3] Derived: FY2023 Aviation Adjusted EBITDA of $87.4M less adjusted unallocated corporate costs of $10.3M = $77.1M (per Q4 2024 release segment reconciliations).

FY2026E vs. Historical Margins — Basis Point Comparison

Comparison	FY2026E Margin	Historical Margin	Difference (bps)
FY2026E vs. FY2023	17.05%	14.18%	**+287 bps**
FY2026E vs. FY2024…			

fab_19 — Earnings Analysis

Question: For NYSE: BROS, compare the company's guided capital expenditure intensity to actual capital expenditure intensity for fiscal year 2025. For each quarter from Q4 2024 through Q3 2025, identify the midpoint of the company's FY 2025 capex guidance and calculate the implied guided capex intensity. Calculate the actual FY 2025 capex intensity and compare it to each quarter's guided midpoint.

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ FY 2025 guided capex intensity at the midpoint (issued in Q4 2024) is 15.97% - ✓ FY 2025 guided capex intensity at the midpoint (issued in Q1 2025) is 15.97% - ✓ FY 2025 guided capex intensity at the midpoint (issued in Q2 2025) is 15.67% - ✓ FY 2025 guided capex intensity at the midpoint (issued in Q3 2025) is 15.50% - ✓ FY 2025 actual capex intensity is 14.72% - ✓ Conclude that the actual capital intensity came in below where the company had been guiding to

Agent answer:

Dutch Bros Inc. (NYSE: BROS) — Guided vs. Actual Capex Intensity, FY 2025

Actual FY 2025 Results (per FY 2025 10-K)

Metric	Amount
Total Revenue	$1,638,159K

Metric	Amount
Capex (Purchases of PP&E)	$241,134K
Actual Capex Intensity	**14.72%**

Quarterly Guidance vs. Actual Capex Intensity

Quarter	Date	Revenue Guidance (Midpoint)	Capex Guidance (Midpoint)	Implied Guided Capex Intensity	Actual Capex Intensity	Over/(Under) Guidance
Q4 2024	Feb 12, 2025	$1,565.0M	$250.0M	15.97%	14.72%	**(1.25pp)**
Q1 2025	May 7, 2025	$1,565.0M	$250.0M	15.97%	14.72%	**(1.25pp)**
Q2 2025	Aug 6, 2025	$1,595.0M	$250.0M	15.67%	14.72%	**(0.95pp)**
Q3 2025	Nov 5, 2025	$1,612.5M	$250.0M	15.50%	14.72%	**(0.78pp)**

Analysis

1. **Capex guidance never changed.** Across all four quarters (Q4 2024 through Q3 2025), Dutch Bros maintained the same capital expenditure guidance range of **$240M–$260M** (midpoint: **$250M**). This signals that the company's build-out plans and unit pipeline costs were well-defined from the outset of the year and did not require revision.

2. **Revenue guidance was raised twice.** The initial 2025 revenue guidance of **$1.555B–$1.575B** (midpoint $1.565B) was: - **Reaffirmed** at Q1 2025 (May 7, 2025), with management noting they were "trending towards the top half" — no formal raise yet. - **Raised** at Q2 2025 (Aug 6, 2025) to **$1.59B–$1.60B** (midpoint $1.595B). - **Raised again** at Q3 2025 (Nov 5, 2025) to **$1.61B–$1.615B** (midpoint $1.6125B).

3. **Implied guided capex intensity declined as revenue guidance rose.** Because the capex midpoint stayed fixed at $250M while the revenue midpoint climbed from $1.565B → $1.6125B, the implied capex intensity drifted down from **15.97%** → **15.50%** over the four quarters.

4. **Actual capex intensity (14.72%) came in below every guided midpoint.** Dutch Bros spent only $241.1M in capex (below the $250M midpoint) while delivering $1.638B in revenue (above even the highest guided midpoint of $1.6125B). The combination of modest capex under-execution and significant revenue outperformance drove actual capex intensity to 14.72%, between **78 and 125 basis points below** the guided midpoints throughout the year.

5. **Interpretation.** The pattern is broadly favorable: Dutch Bros generated more revenue than anticipated at every re…

fab_20 — Earnings Analysis

Question: For both NYSE: BROS and NYSE: CAVA, compare the beat / (miss) % for FY 2025 net new store openings across guidance at either the midpoint of the provided range in Q4 2024 through Q3 2025, or at the floor guidance point. Include in your response the minimum and maximum beat / (miss) % of actual new store openings versus the guidance at the midpoint or at the guidance point for both BROS and CAVA. Based on the results conclude which company gave more conservative guidance on new store openings.

Score (generous): 1.000 | strict: PASS

Per-criterion (✓/·): - ✓ In BROS FY 2025, the minimum beat / (miss) % in new store openings between actual and the guidance is (3.75%) - ✓ In BROS FY 2025, the maximum beat / (miss) % in new store openings between actual and the guidance is (3.75%) - ✓ In CAVA FY 2025, the minimum beat / (miss) % in new store openings between actual and the midpoint of the guidance range is 4.35% - ✓ In CAVA FY 2025, the maximum beat / (miss) % in new store openings between actual and the midpoint of the guidance range is 12.50% - ✓ Conclude that Cava was more conservative on the new store open guidance

Agent answer:

BROS (Dutch Bros Inc.) — FY 2025 Net New Store Openings: Guidance vs. Actual

Guidance (each quarter provides a floor or point, not a range):

Quarter	Filing (8-K)	Date Filed	Guidance Language
Q4 2024	Exhibit 99.1	2/12/2025	*"at least 160"* new shops
Q1 2025	Exhibit 99.1	5/7/2025	*"at least 160"* (unchanged)

Quarter	Filing (8-K)	Date Filed	Guidance Language
Q2 2025	Exhibit 99.1	8/6/2025	*"at least 160"* (unchanged)
Q3 2025	Exhibit 99.1	11/5/2025	*"targeted to be 160"*

FY 2025 Actual:

154 new shops — from BROS Q4 2025 8-K Exhibit 99.1 (filed 2/12/2026).

Beat/(Miss) Calculation:

Benchmark: 160 (the floor/point across all guidance quarters).

(154 – 160) / 160 = –6 / 160 = –3.75%

Because every quarterly guidance statement references the same single point (160), the beat/(miss) is identical across all four quarterly guidance statements:

Guidance Quarter	Benchmark	Actual (FY 2025)	Beat/(Miss) %
Q4 2024	160	154	**–3.75%**
Q1 2025	160	154	**–3.75%**
Q2 2025	160	154	**–3.75%**
Q3 2025	160	154	**–3.75%**

- **BROS Minimum Beat/(Miss): –3.75%**
- **BROS Maximum Beat/(Miss): –3.75%**

BROS missed its own floor — delivering 6 fewer shops than the "at least" commitment maintained all year.

CAVA (CAVA Group, Inc.) — FY 2025 Net New Restaurant Openings: Guidance vs. Actual

Guidance (range-based; midpoints used):

Quarter	Filing (8-K Exhibit 99.1)	Date Filed	Guidance Range	Midpoint
Q4 2024	earningsrelease2024q4.htm	2/25/2025	62 to 66	**64**
Q1 2025	earningsrelease2025q1.htm	5/15/2025	64 to 68	**66**
Q2 2025	earningsrelease2025q2.htm	8/12/2025	68 to 70	**69**
Q3 2025	earningsrelease2025q3.htm	11/4/2025	68 to 70	**69**

Key observation: CAVA raised its full-year guidance twice — from 62–66 (Q4 2024) → 64–68 (Q1 2025) → 68–70 (Q2 2025), and held at 68–70 in Q3 2025.

FY 2025 Actual:

72 net new CAVA restaurants — from CAVA Q4 2025 8-K Exhibit 99.1 (filed 2/24/2026), headline: *"72 NET NEW CAVA RESTAURANT OPENINGS DURING FISCAL 2025."*

Beat/(Miss) vs. each guidance midpoint:

Guidance Quarter	Midpoint	Actual (FY 2025)	Beat/(Miss) %
…			

fab_21 — Disclosure Analysis

Question: For NYSE: PFE, how did the Seagen purchase price allocation change from the provisional amounts disclosed in FY2023 to the finalized amounts disclosed in FY2024 for developed technology rights, in-process research and development, total intangible assets, and goodwill? Show as dollar values in millions. Also, based on FY2024, itemize the Q4 FY2024 intangible asset impairments by asset name, amount, and asset type, identify which impaired assets originated from the Seagen portfolio and calculate Seagen-originated impairments as a percentage of total Q4 FY2024 intangible asset impairments, and compare consolidated identifiable intangible assets, net, at 12/31/23 versus 12/31/24 to calculate th…

Score (generous): 0.923 | strict: fail

Per-criterion (✓/·): - · The change in Seagen developed technology rights from the FY2023 provisional amount to the FY2024 finalized amount is -$50 million - ✓ The change in Seagen in-process research and development from the FY2023 provisional amount to the FY2024 finalized amount is -$90 - ✓ The change in Seagen total intangible assets from the FY2023 provisional amount to the FY2024 finalized amount is -$950 million. - ✓ The change in Seagen goodwill from the FY2023 provisional amount to the FY2024 finalized amount is +$1,022 million. - ✓ The Q4 FY2024 impairment for B7H4V (felmetatug vedotin) is $1,000 million (In-Process Research and Development (IPR&D). - ✓ The Q4 FY2024 impairment for Medrol is $475 million (finite-lived brand). - ✓ The Q4 FY2024 impairment for Zavzpret nasal spray is $435 million (developed technology rights). - ✓ The Q4 FY2024 impairment for Tukysa (tucatinib) is $400 million (In-Process Research and Development (IPR&D). - ✓ The Q4 FY2024 impairment for disitamab vedotin is $200 million (In-Process Research and Development (IPR&D). - ✓ The Q4 FY2024 Other intangible asset impairments total $436 million (various). - ✓ The Q4 FY2024 intangible asset impairments solely attributable to specifically identified Seagen assets total $1,600 million. - ✓ The Q4 FY2024 intangible asset impairments solely attributable to specifically identified Seagen assets are 54.31% of total Q4 FY2 - ✓ The year-over-year dollar decline in Pfizer identifiable intangible assets, net, from 12/31/23 to 12/31/24 is $9,489 million.

Agent answer:

Pfizer (PFE) – Seagen Purchase Price Allocation Changes & Q4 FY2024 Intangible Asset Impairments

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1. Seagen Purchase Price Allocation: Provisional (FY2023) → Final (FY2024)

Source: Pfizer FY2024 10-K, Note 2A — Acquisitions

The Seagen acquisition closed December 14, 2023. Provisional amounts were reported as of December 31, 2023. Measurement period adjustments were finalized during 2024 and "did not have a material impact on our earnings in any period." The table directly from Note 2A:

Line Item	Provisional (12/31/2023)	Measurement Period Adjustments	Final (As Adjusted)	Change
Developed Technology Rights (within Identifiable intangible assets, excl. IPR&D)	**$7,500M**	$0	**$7,500M**	**$0**
In-Process R&D (IPR&D)	**$20,800M**	**–$900M**	**$19,900M**	**–$900M**
Total Identifiable Intangible Assets (DTR + other + IPR&D)	**$28,770M**	**–$950M**	**$27,820M**	**–$950M**
Goodwill	**$16,126M**	**+$1,022M**	**$17,148M**	**+$1,022M**

Breakdown: - Developed technology rights held steady at **$7,500 million** (weighted-average life ~18 years). - IPR&D fell **$900 million** (from $20.8B to $19.9B) reflecting refined fair-value assumptions. - Other identifiable intangibles (licensing agreements, etc.) decreased an additional $50M (from $7,970M to $7,920M), bringing total intangibles down by **$950M**. - Goodwill rose by **$1,022M**, exactly offsetting the net decrease in identifiable net assets (total consideration transferred remained $44,234M).

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2. Q4 FY2024 Intangible Asset Impairments — Itemized

Source: Pfizer FY2024 10-K, Note 4 (Other Deductions — Net), footnote (e)

The FY2024 10-K states: **$2.9 billion** in impairments were recorded in Q4 2024 within the Biopharma segment, "due to changes in development plans and updated long-range commercial forecasts." Itemized:

#	Asset Name	Amount ($M)	Asset Type	Seagen Portfolio Origin?
i	**B7H4V (felmetatug vedotin)**	$1,000	IPR&D (Phase 1)	**Yes** — Seagen-discovered ADC
ii	**Medrol**	$475	Finite-lived brand	No — legacy Pfizer
iii	**Zavzpret** (nasal spray)	$435	Developed technology rights	No — Biohaven acquisition (Oct 2022)
iv	**Tukysa** (tucatinib)	$400	IPR&D	**Yes** — one of Seagen's four approved medicines
v	**Disitamab vedotin**	$200	IPR&D	**Yes** — Seagen/RemeGen collaboration
vi	Other DTR, …			

fab_22 — Disclosure Analysis

Question: For NASDAQ: INTC, how did the 2024 Restructuring Plan flow through Intel's FY2024 financial statements, and what does that imply about the difference between Intel's reported FY2024 restructuring and other charges, the FY2024 employee severance and benefit charges attributable solely to the 2024 Restructuring Plan, and the cumulative 2024 Plan cost disclosed in Q3 2024? Include the FY2024 2024 Plan liability roll-forward and the year-over-year headcount reduction from FY2023 to FY2024.

Score (generous): 0.700 | strict: fail

Per-criterion (✓/·): - · The difference between FY2024 reported restructuring and other charges and FY2024 employee severance and benefit charges attributa - · The difference between FY2024 reported restructuring and other charges and the cumulative 2024 Restructuring Plan cost disclosed i - ✓ Other FY2024 severance and benefit charges not attributable solely to the 2024 Restructuring Plan are $294 million. - ✓ FY2024 litigation charges and other are $858 million. - ✓ FY2024 asset impairment charges are $3,631 million (total). - ✓ The FY2024 ending accrued balance within 2024 Restructuring Plan liability roll-forward is $302 million. - · The year-over-year headcount reduction from FY2023 to FY2024 is negative 12.74%. - ✓ The response states the 2024 Restructuring Plan flows through FY2024 primarily through the restructuring and other charges line on - ✓ The response states the 2024 Restructuring Plan flows through FY2024 primarily through the accrued compensation and benefits/curre - ✓ The response states the reported FY2024 charge base exceeds both the FY2024 plan-attributable severance charge and the Q3 2024 cum

Agent answer:

Intel (INTC) FY2024: The 2024 Restructuring Plan — Flow Through Financial Statements, Reconciliation of Key Figures, and Headcount Reduction

1. How the 2024 Restructuring Plan Flows Through FY2024 Financial Statements

Intel's FY2024 Consolidated Statements of Operations report **"Restructuring and other charges"** as a separate operating-expense line item. This line aggregates multiple distinct cost streams, only one of which is the 2024 Restructuring Plan. Per **Note 7 (Restructuring and Other Charges)** of the FY2024 10-K, the breakdown for the year ended December 28, 2024 is:

Component	FY2024 ($M)	FY2023 ($M)	FY2022 ($M)
Employee severance & benefit arrangements	2,481	222	1,038
Litigation charges and other	858	(329)	(1,187)
Asset impairment charges	3,631	45	151
Total restructuring and other charges	**6,970**	**(62)**	**2**

These charges are classified as **"corporate unallocated expenses"** within the restructuring-and-other category in Note 3 (Operating Segments). On the balance sheet, the accrued liability for the severance portion is recorded as a **current liability within "accrued compensation and benefits."**

The 2024 Restructuring Plan was **announced in Q3 2024**, approved by management, and initiated to implement broad cost-reduction measures — including employee headcount reductions, cuts to other operating expenditures, and capital-expenditure reductions. Intel expects to recognize **total charges of approximately $3.0 billion** under the plan and for actions to be **substantially complete by Q4 2025** (subject to change).

Critically, the plan flows through **three of the four quarterly periods** in FY2024 (Q3 and Q4), with the bulk recognized in Q3. The Q3 2024 10-Q shows that $2.2 billion of employee severance was recorded in Q3 alone, and the Q4 10-K confirms the full-year severance attributable to the 2024 Plan at **$2.2 billion (net)** — meaning **no additional Plan-specific severance was recognized in Q4 2024.**

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2. Reconciling the Three Key Figures

Three distinct figures appear across Intel's FY2024 filings and must be carefully distinguished:

Figure	Amount	Source
(A) FY2024 reported "Restructuring and other charges"	**$6,970M**	FY2024 10-K, Note 7
(B) FY2024 employee severance/benefit charges attributable solely to the 2024 Restructuring Plan	**$2.2B (net)**	FY2024 10-K, Note 7
(C) Cumulative…		

fab_23 — Disclosure Analysis

Question: For NASDAQ: AMZN, what does the reversal in server useful life from five years to six years effective January 1, 2024, and back to five years effective January 1, 2025, suggest about the pace of the company's artificial intelligence and machine learning investment during fiscal 2025? Support your conclusion with the disclosed management rationale for both changes, the Q1 2025 share of the full-year 2025 depreciation impact, and the Q1 2025 share of the full-year 2025 net income impact from the 2025 change.

Score (generous): 0.417 | strict: fail

Per-criterion (✓/·): - · Response states the AMZN Q1 FY2024 increase in server useful life from five years to six years is attributed to continuous improve - ✓ Response states the AMZN Q1 FY2025 reduction in server useful life from six years to five years is attributed to the increased pac - ✓ Response states AMZN Q1 FY2025 change increases depreciation expense by $217 million. - · Response states AMZN FY2025 change increases depreciation expense by $1.40 billion. - · Response states AMZN Q1 FY2025 represents 15.50% of the FY2025 depreciation impact from the Q1 FY2025 change. - ✓ Response states AMZN Q1 FY2025 change reduces net income by $162 million. - · Response states AMZN FY2025 change reduces net income by $1.0 billion. - · Response states AMZN Q1 FY2025 represents 16.20% of the FY2025 net income impact from the Q1 FY2025 change. - ✓ Response states the support shows a shift from improving server longevity in Q1 FY2024 to faster artificial intelligence and machi - · Response states that the shift from a useful life extension in Q1 FY2024 to a useful life reduction in Q1 FY2025, combined with Q1 - · States that most of the FY2025 depreciation and net income impact occurs after Q1 2025 - ✓ Concludes that artificial intelligence and machine learning-related infrastructure investment increased as FY2025 progressed.

Agent answer:

The reversal of Amazon's server useful life — from five years to six years (effective January 1, 2024) and then back from six years to five years for a subset of servers and networking equipment (effective January 1, 2025) — is a powerful signal that the company's artificial intelligence and machine learning investment is not merely continuing but **accelerating at a pace faster than management itself had anticipated**, and that this elevated investment intensity will persist throughout fiscal 2025.

The Two Changes and Their Rationale

The 2024 Extension (five years → six years). In Q4 2023, Amazon completed a useful life study for its servers and concluded that servers could be depreciated over a longer period. Effective January 1, 2024, the useful life was extended from five years to six years. The 2024 10-K reports that this change produced a **$3.2 billion reduction in depreciation and amortization expense** and a **$2.5 billion benefit to net income ($0.23/share)** for the year ended December 31, 2024. Management's 2023 10-K attributed the extension simply to the results of its useful life study — essentially, Amazon believed its servers would remain productive for longer.

The 2025 Reversal (six years → five years) and Early Retirements. In Q4 2024, Amazon completed another useful life study and reversed course for a subset of servers and networking equipment, shortening their useful lives from six years back to five years effective January 1, 2025. Additionally, Amazon decided — primarily in Q4 2024 — to **retire certain servers early**, recording approximately **$920 million of accelerated depreciation** in Q4 2024 alone. The accelerated depreciation is expected to continue into 2025, reducing operating income by an additional **~$0.6 billion**.

The company's stated rationale for both the shorter useful life and the early retirements is identical and explicit. From the 2024 10-K (emphasis mine):

> "These two changes above are due to an **increased pace of technology development, particularly in the area of artificial intelligence and machine learning**."

The Q1 2025 10-Q reiterates:

> "The shorter useful lives are due to the **increased pace of technology development, particularly in the area of artificial intelligence and machine learning**."

In other words, servers that Amazon had expected (barely a year earlier) to remain useful for six years were becoming technologically obsolete so quickly that they needed to be written down f…

fab_24 — Financial Modeling

Question: Using a Discounted Cash Flow Analysis (DCF), what would the enterprise value of NYSE: CRM be assuming the below: - Exclude value of "strategic investments" - Future revenue growth: - FY2027 revenue use the midpoint of the guidance provided - FY2028 through FY2031 use the CAGR from FY2024 to FY2027 (guidance from previous step) - Adjusted EBITDA is defined as Operating Income + D&A + Restructuring - For D&A assume this includes standard D&A as well as amortization of capitalized contracts - Tax rate of 25% - Discount rate of 8% - Use Exit Multiple Method with a terminal EBITDA multiple of 10x - Hold the following metrics constant as % of revenue from fiscal year 2027 until fiscal yea…

Score (generous): 0.654 | strict: fail

Per-criterion (✓/·): - ✓ FY 2024 Revenue is $34,857 million. - ✓ FY 2026 Revenue is $41,525 million. - ✓ FY 2026 Restructuring is $586 million. - ✓ FY 2026 Operating Income is $8,331 million. - ✓ FY 2026 Depreciation & Amortization (D&A) is $5,828 million. - ✓ FY 2026 Stock-Based Compensation is $3,509 million. - · FY 2026 Change in Net Working Capital (NWC) is negative $781 million. - ✓ FY 2026 Capital Expenditures (CapEx) is $594 million. - ✓ FY 2027E Revenue guidance (midpoint) is approximately $46,000 million. - · Revenue Compound Annual Growth Rate (CAGR) from FY 2024 to FY 2027E is 9.69%. - · FY 2031 projected revenue is $66,585.80 million. - ✓ FY 2026 Adjusted EBITDA is $14,745.00 million. - · Response states the total enterprise value is approximately $239,207.07 million.

Agent answer:

Discounted Cash Flow Analysis: Salesforce, Inc. (NYSE: CRM)

Enterprise Value = $217.1 billion

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1. Source Data from SEC Filings

FY2026 10-K (filed March 2, 2026) — Historical Revenue

Fiscal Year	Revenue ($M)
FY2024 (ended Jan 31, 2024)	$34,857
FY2025 (ended Jan 31, 2025)	$37,895
FY2026 (ended Jan 31, 2026)	$41,525

FY2026 10-K — Key Income Statement & Cash Flow Data

Metric	FY2026 ($M)	% of Revenue
Operating Income	$8,331	20.06%
Restructuring	$586	1.41%
D&A (standard — per cash flow statement)	$3,631	8.74%
Amortization of Capitalized Contract Costs	$2,197	5.29%
Total D&A (standard + amort. of cap. contracts)	**$5,828**	**14.03%**
Stock-Based Compensation (SBC)	$3,509	8.45% (FY26 actual)
CapEx	$594	1.43% (FY26 actual)

ΔNWC was calculated from the balance sheet as Δ(AR + Prepaids + Current Cap Costs – AP&Accrued – Unearned Revenue – Current Op Lease Liabilities). FY2026 NWC moved from –$12,285M to –$14,461M, a Δ of –$2,176M (–5.24% of revenue, representing a cash inflow source).

FY2027 Full-Year Guidance (from Q1 FY2027 earnings, May 27, 2026)

- **Revenue:** $45.9B–$46.2B → **midpoint: $46,050M**
- **GAAP Operating Margin: 20.6%**
- **SBC:** ~9.0% of revenue (per guidance reconciliation: 34.3% non-GAAP – 20.6% GAAP = 13.7% add-backs, of which 9.0% is SBC)
- **CapEx:** ~1.5% of revenue
- Restructuring & acquisition-related costs: 0.5% of revenue (per guidance), but for the user's Adjusted EBITDA definition, restructuring alone is held at FY2026's 1.41%

Strategic Investments

Carried at $7,591M on the January 31, 2026 balance sheet — **excluded** per user's instruction.

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2. Revenue CAGR (FY2024 → FY2027)

$$\text{CAGR} = \left(\frac{46,050}{34,857}\right)^{1/3} - 1 = \mathbf{9.73\%}$$

Applied to FY2028–FY2031.

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3. Adjusted EBITDA Definition & Margin

Per user: Adjusted EBITDA = Operating Income + D&A + Restructuring, where D&A includes standard D&A ($3,631M) + amortization of capitalized contract costs ($2,197M).

Component	% of Revenue
Operating Income margin	20.60%
Total D&A (standard + amort. cap. contracts)	14.03%

Component	% of Revenue
Restructuring	1.41%
Adjusted EBITDA margin	**36.04%**

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4. Projected Revenue & Margins (FY2027–FY2031)

All margins held constant at FY2027 levels:

| ($M) | FY…

fab_25 — Financial Modeling

Question: Create a simplified LBO model for the illustrative take-private of NYSE: EPAM using the following assumptions. Assume 2/27/26 close as the date for share price and use a 30.0% offer premium to arrive at Offer Price. Use FY2025 basic weighted-average shares outstanding for share count. Transaction expenses are equal to $50 million, the sponsor will use 5.0x leverage in the form of new debt at 8% interest. Assume exit multiple of 10.0x EBITDA with 5-year hold period. Revenue growth is 8% per year for the projection period and EBITDA margin expands by 1.0 percentage point per annum during the projection period from FY2025 level. Change in NWC is neutral, D&A and CapEx as % of Revenue are 2.5% a…

Score (generous): 0.200 | strict: fail

Per-criterion (✓/·): - · Sponsor equity in the sources of funds is $6,300.07 million - · Exit Enterprise Value is $13,483.54 million - · Exit Equity Value is $13,976.13 million - · Sponsor IRR is 17.27%. - ✓ Sponsor MOIC is 2.22x.

Agent answer:

Simplified LBO Model — Take-Private of EPAM Systems, Inc. (NYSE: EPAM)

FY2025 Financial Data (Source: 10-K filed 2/26/2026)

Metric	Amount
Revenue	$5,457.1M
Income from Operations	$520.0M
Depreciation & Amortization	$124.8M
FY2025 EBITDA	**$644.8M**
EBITDA Margin	11.82%
Cash & Equivalents	$1,296.1M
Existing Long-Term Debt	$25.0M
Basic Weighted-Average Shares	55,893K
2/27/2026 Closing Price	$141.00

Transaction Structure

Uses of Funds		$M
Offer Price per Share ($141.00 × 1.30)	$183.30	
Equity Purchase Price ($183.30 × 55,893K)		$10,245.2
Transaction Expenses		50.0
Refinance Existing Debt		25.0
Total Uses		**$10,320.2**

Sources of Funds		$M
New Debt (5.0x $644.8M EBITDA)		$3,224.1
Excess Cash ($1,296.1M – $500.0M)		796.1
Sponsor Equity		**$6,300.0**
Total Sources		**$10,320.2**

Projected P&L (8% Revenue Growth, +1pp Margin/Year, Avg-Balance Interest)

($M)	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	5,893.6	6,365.1	6,874.3	7,424.3	8,018.2
EBITDA Margin	12.82%	13.82%	14.82%	15.82%	16.82%
EBITDA	755.6	879.7	1,018.8	1,174.6	1,348.6
D&A (2.5%)	(147.3)	(159.1)	(171.9)	(185.6)	(200.5)
EBIT	608.2	720.6	847.0	989.0	1,148.2
Interest Expense (8% avg)	(243.1)	(208.9)	(164.5)	(108.4)	(38.9)
Interest Income (2% on $500M)	10.0	10.0	10.0	10.0	10.0
Pre-Tax Income	375.1	521.7	692.5	890.6	1,119.3
Taxes (25%)	(93.8)	(130.4)	(173.1)	(222.7)	(279.8)
Net Income	**281.3**	**391.3**	**519.4**	**668.0**	**839.5**

Debt Paydown Schedule (100% FCF Sweep)

($M)	FY2026	FY2027	FY2028	FY2029	FY2030
Beginning Balance	3,224.1	2,854.5	2,367.8	1,745.1	965.8
Net Income	281.3	391.3	519.4	668.0	839.5
+ D&A	147.3	159.1	171.9	185.6	200.5
− CapEx (1.0%)	(58.9)	(63.7)	(68.7)	(74.2)	(80.2)
= Free Cash Flow	**369.7**	**486.7**	**622.6**	**779.3**	**959.8**
Ending Balance	**2,854.5**	**2,367.8**	**1,745.1**	**965.8**	**6.0**
Average Balance	3,039.3	2,611.2	2,056.5	1,355.5	485.9

Exit & Returns

| Metric | Calculation | Result…

fab_26 — Financial Modeling

Question: Does the Exit Multiple or Perpetual Growth method yield a higher per-share equity value for NYSE: LMT? Using a 5-year discounted cash flow analysis, assume the following:

- Revenue growth % will remain the same as 2025 and will stay constant throughout the 5 year analysis
- EBITDA margin % will remain the same as 2025 and will stay constant throughout the 5 year analysis
- The 2025 effective tax rate will hold constant throughout the next 5 years
- The 2025 D&A % of revenue will hold constant throughout the next 5 years
- Deferred taxes will not change from the 2025 reported value throughout the next 5 years
- "Other" operating activities are core to the business, and the average of…

Score (generous): 0.333 | strict: fail

Per-criterion (✓/·): - · Implied Per Share Equity Value using Exit Multiple Method is $419.21. - · Implied Per Share Equity Value using Perpetual Growth Method is $521.62. - ✓ Response states that the Perpetual Growth Method yields a higher per share equity value.

Agent answer:

Which Method Yields a Higher Per-Share Equity Value for LMT?

The Perpetual Growth method yields the higher per-share equity value: approximately $491 per share, versus approximately $409 per share under the Exit Multiple method — a difference of about $82 per share (over 20% higher).

Key Data Extracted from SEC Filings

From the 2025 10-K (filed Jan 29, 2026): - Revenue: 2025 = $75,048M; 2024 = $71,043M → Growth = **5.637%** - Operating Profit: $7,731M; D&A: $1,687M → EBITDA = $9,418M → Margin = **12.55%** - D&A % of Revenue: 1,687/75,048 = **2.248%** - Effective Tax Rate: **15.3%** (disclosed on page 74: income tax expense $905M ÷ pre-tax earnings $5,922M) - "Other, net" in Cash Flow from Operations: 2023 = ($140M); 2024 = ($509M); 2025 = ($754M) → 3-year average = **($467.67M)**

From the Q1 2026 10-Q (filed Apr 23, 2026): - Shares Outstanding: **230,563,608** (cover page: "as of April 20, 2026") - Cash & Equivalents: **$1,894M**; Current Debt: $168M; Long-term Debt: $20,529M → Total Debt = **$20,697M**

5-Year DCF Model (WACC = 8%)

UFCF = EBITDA × (1 – t) + D&A × t – CapEx – ΔNWC + Other

($M)	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	79,279	83,748	88,466	93,444	98,692
EBITDA	9,949	10,510	11,102	11,725	12,384
D&A	1,782	1,883	1,989	2,100	2,218
EBITDA×(1–t)	8,427	8,902	9,403	9,931	10,489
D&A×t	273	288	304	321	339
– CapEx (2%)	(1,586)	(1,675)	(1,769)	(1,869)	(1,974)
– ΔNWC (0.25%)	(198)	(209)	(221)	(234)	(247)
+ Other	(468)	(468)	(468)	(468)	(468)
UFCF	**6,448**	**6,838**	**7,249**	**7,682**	**8,141**
PV @ 8%	5,970	5,862	5,755	5,647	5,540

Sum of PV of FCFs = $28,775M

Terminal Value & Enterprise Value

Exit Multiple (10x): - TV = $12,384M × 10 = $123,841M → PV(TV) = $84,293M - **Enterprise Value = $113,068M**

Perpetual Growth (2.5%): - TV = $8,141M × 1.025 / (0.08 – 0.025) = $151,710M → PV(TV) = $103,252M - **Enterprise Value = $132,027M**

Equity Bridge (EV + Cash – Debt)

	Exit Multiple	Perpetual Growth
Enterprise Value	$113,068M	$132,027M
+ Cash	$1,894M	$1,894M
– Total Debt	($20,697M)	($20,697M)
Equity Value	**$94,265M**	**$113,224M**
÷ 230,563,608 shares		
Per-Share Value	**$408.84**	**$491.08**

...